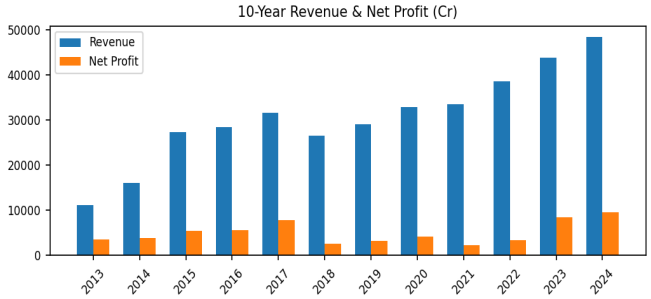
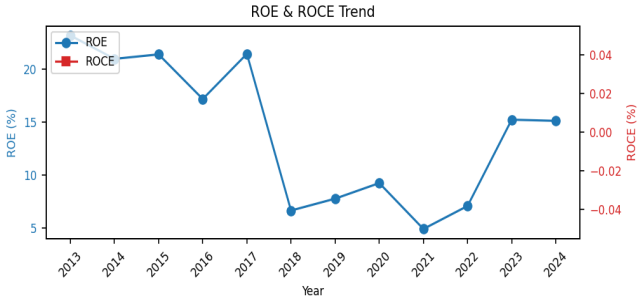
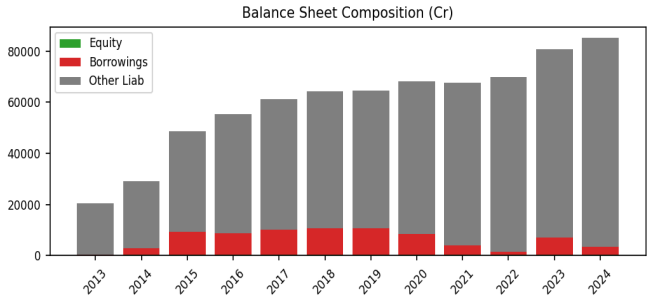
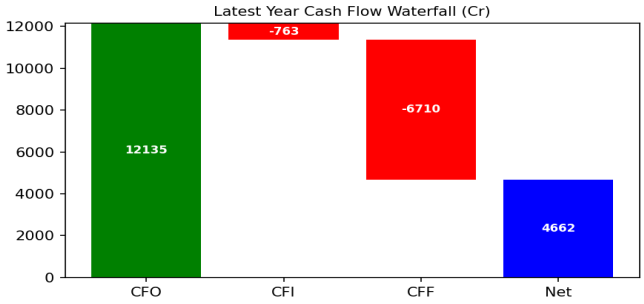
Sun Pharmaceuticals Industries Ltd (SUNPHARMA)

Revenue	Net Profit	Total Equity
■4.8T	■9610Cr	■240Cr
ROE	**ROCE**	**D/E**
15.1%	-	0.05x









Pros	Cons
• Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%) • Growing asset base funded by internal accruals reflects self-sustaining growth (Conf: 80%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Shareholder Returns